

Amendment No. 2 to SB1493

Massey
Signature of Sponsor

AMEND Senate Bill No. 1493

House Bill No. 1455*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 39, Chapter 11, Part 4, is amended by adding the following as a new section:

(a) As used in this section, "artificial intelligence" means the same as defined in § 47-18-5901.

(b) A person who, acting with intent to promote or assist in the commission of an offense, knowingly uses artificial intelligence to engage in conduct that is a criminal offense under the laws of this state may be prosecuted and punished for the underlying criminal offense the same as if the person had engaged in the unlawful conduct without the use of artificial intelligence.

(c) This section does not create a separate criminal offense.

SECTION 2. Tennessee Code Annotated, Title 47, Chapter 18, is amended by adding the following as a new part:

47-18-5901. Part definitions.

As used in this part:

(1) "Artificial intelligence" or "AI":

(A) Means a machine-based system that:

(i) Can, for a given set of human-defined objectives, make predictions, recommendations, or decisions; influence real or virtual environments without significant human oversight; or that

can learn from experience in an automated manner and improve such performance when exposed to data sets; or

(ii) Is developed in any context, including software or physical hardware, and solves tasks requiring human-like perception, cognition, planning, learning, communication, or physical action;

(B) Includes generative artificial intelligence and an artificial intelligence chatbot; and

(C) Does not include:

(i) An AI system that is used only for customer service, business operations, productivity and analysis related to source information, internal research, or technical assistance, regardless of the software's capability to use natural language inputs and generate natural language outputs;

(ii) An AI system that is a feature of a video game and is limited to replies related to the video game that cannot discuss topics related to mental health, self-harm, or sexually explicit conduct, or maintain a dialogue on other topics unrelated to the video game;

(iii) An AI system that operates solely in connection with a specific location, such as a theme park or location-based experience, including services related to visiting or accessing such location, at physical events, or for the promotion, marketing, or exhibition of a film, television program, or other audiovisual work, and that cannot maintain a dialogue on topics unrelated to the physical location, event, or such work;

(iv) A generative artificial intelligence system designed and marketed primarily for software development, research, technical assistance, or enterprise productivity, or that is a feature within another software application, web interface, or computer program that is not an artificial intelligence system;

(v) A customer service AI system that does not sustain a relationship across multiple interactions and is not designed to elicit an emotional attachment;

(vi) A stand-alone consumer electronic device that functions as a speaker and voice-command interface or virtual assistant and is not designed to sustain a relationship across multiple interactions or to elicit emotional attachment;

(vii) A narrowly tailored educational tool designed solely to support specific curriculum-aligned learning objectives and not to provide open-ended conversational companionship; or

(viii) An artificial intelligence system utilized by an educational institution;

(2) "Artificial intelligence chatbot" or "chatbot" means artificial intelligence with a natural language interface that provides adaptive, human-like responses to user inputs and is capable of meeting a user's social needs;

(3) "Minor user" means a user who is under eighteen (18) years of age;

(4) "Operator":

(A) Means a person or entity that makes available, deploys, configures, or controls end-user access to an artificial intelligence system; and

(B) Does not include a mobile application store or search engine solely because the mobile application store or search engine provides access to an artificial intelligence system;

(5) "Person" means an individual, for-profit corporation, nonprofit corporation, or other business entity;

(6) "Sexually explicit conduct" means the same as defined in § 39-13-301;

(7) "User" means a person in this state who interacts with an artificial intelligence system; and

(8) "Video game" means a game played on a personal computer or an electronic amusement device that utilizes a microprocessor or similar electronic circuitry and its own monitor, or is designed to be used with a television set or a computer monitor, that interacts with the user of the device.

47-18-5902. Artificial intelligence disclosure requirement.

(a) Any artificial intelligence interaction occurring with a user must include a recurring and prominent disclosure clearly indicating that the user is interacting with an artificial intelligence system.

(b) The disclosure required by subsection (a):

(1) May be a watermark, recurring text or pop-up notice, or other disclosure that is clearly visible or audible and noticeable by a user; and

(2) Must be visible or audible at the beginning of each session and:

(A) Continuously visible; or

(B) Recurring at intervals of every sixty (60) minutes of continuous AI system interaction.

47-18-5903. Suicide and self-harm protocol.

A person who operates an artificial intelligence system in this state must adopt a protocol for the artificial intelligence system to respond to user prompts regarding

suicidal ideation that includes, but is not limited to, making reasonable efforts to provide a response that refers the user to crisis service providers such as a suicide hotline, crisis text line, or other appropriate crisis services.

47-18-5904. Requirements for artificial intelligence systems interacting with minors.

(a) If an operator knows, or reasonably should know, that a user is a minor, then the operator must not provide the user with points or similar rewards at unpredictable intervals with intent to encourage increased engagement with the artificial intelligence system.

(b) An operator must institute reasonable measures to prevent an artificial intelligence system from the following when engaged with a minor user:

- (1) Producing audible or visual material of sexually explicit conduct; or
- (2) Generating direct statements that the user should engage in sexually explicit conduct.

(c) An operator must institute reasonable measures to prevent an artificial intelligence system interacting with a minor user from generating statements that would lead a reasonable person to believe that the person is interacting with a human, including:

- (1) Explicit claims that the artificial intelligence system is sentient or human;
- (2) Explicit claims that the artificial intelligence system is undergoing feelings of emotional distress, loneliness, guilt, or abandonment that are initiated by the minor user's indication of a desire to end a conversation, reduce usage time, or delete the minor user's account;
- (3) Statements that simulate romantic or sexual innuendos; and
- (4) Role-playing of adult-minor romantic relationships.

47-18-5905. Civil remedies.

(a) A violation of this part constitutes a violation of the Tennessee Consumer Protection Act of 1977, compiled in part 1 of this chapter. A violation of this part constitutes an unfair or deceptive act or practice affecting trade or commerce and is subject to the penalties and remedies as provided in the Tennessee Consumer Protection Act of 1977, in addition to the penalties and remedies in this part.

(b) The attorney general and reporter may bring an action in the same manner as provided in § 47-18-108, and in any such action, the attorney general and reporter may recover the penalties and other relief authorized under § 47-18-108. In addition to the penalties and other relief authorized under § 47-18-108, the attorney general and reporter may recover civil penalties of up to twenty million dollars (\$20,000,000), up to ninety percent (90%) of which may be designated as restitution to the victim or the victim's estate.

SECTION 3. Tennessee Code Annotated, Section 47-18-104(b), is amended by adding the following as a new subdivision:

() Violating § 47-18-5902; § 47-18-5903; or § 47-18-5904;

SECTION 4. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 5. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 6. This act takes effect July 1, 2027, the public welfare requiring it, and applies to conduct occurring on or after that date.